Harkness Elementary

Brokerage engagement proposal | Decision brief for Northgale Council trustees

DECISION REQUEST Approve a 60-day, lean exclusive listing with Netherfield Practice before the 14 October board vote, subject to the terms on page 4.

1. The decision in plain language

Northgale Council is considering disposal of the closed Harkness Elementary building. Board president Solveig Ilechukwu and trustees will decide on 14 October. This packet is designed to stand alone: it explains what a broker adds, what it costs, and what remains the Council's responsibility.

Facilities Director Tomas Lockhart has told several trustees that an in-house sealed bid could avoid paying a broker. That is a legitimate option: it can have low direct cost, a familiar public process, and administrative control. It is an informal expectation, not a binding engagement or board decision. We recommend acknowledging it in the staff report and showing the fee below so trustees can compare like with like.

2. Two workable routes

Route	What it does well	Where it is limited
In-house sealed bid	Council controls timetable and bid rules; no success fee in the illustration; straightforward audit trail.	Reach depends on Council's list and staff time. Buyers may not understand school conversion questions; fewer qualified offers may mean less competition. Council staff carry inquiry, qualification, and negotiation load.
Lean brokered process (recommended)	Netherfield builds a verified fact sheet, targets distinct buyer groups, logs inquiries, screens capacity, runs a consistent offer process, and coordinates diligence. Wider reach and cleaner comparison can improve price discovery or certainty—but neither is guaranteed.	Success fee reduces proceeds; Council must provide records and approvals. A 60-day sprint cannot replicate a long campaign or establish zoning, condition, or value.

3. Who must hear about it—and why

Buyer group	Likely motivation	Information and outreach needed
Charter-school operators	Reuse classrooms, gym, and site for an education mission; may value occupancy timing.	Enrollment/program fit, room count, accessibility, parking/drop-off, utility capacity, and education-use approvals. Target known regional operators and education advisors with a concise fact sheet.
Congregations	Assembly, community programs, and worship space; may prioritize parking and flexible gathering rooms.	Assembly/use questions, life-safety and accessibility diligence, neighbors/noise, weekend access, and financing timeline. Use faith-community networks and a site walk.
Senior-housing sponsors	Adaptive reuse or redevelopment; may value location and building shell but need a longer approval path.	Condition, environmental, title, utilities, access, density/use pathway, and capital schedule. Target sponsors directly and require a credible diligence/approval plan.

A sealed-bid notice can reach any of these groups, but it does not by itself educate them or reveal which questions could disqualify a bid. Targeted contact is the incremental work a broker is being paid to perform.

4. Timing and market lens (illustrative, not local market facts)

The comparison below is a planning model only; Northgale has supplied no verified market statistics, valuation, buyer count, or commitment. It shows why the compressed pre-vote period changes the process choice.

Period	Operating context	Implication
Earlier planning window — 1 May–30 June 2026	More time for a broad campaign, multiple tours, and extended diligence. Illustrative target: 10 qualified inquiries and 3 offers.	Time could support more exposure, but the Council did not authorize a campaign in that window; those targets are not results.
Current pre-vote window — 24 Aug–14 Oct 2026	Seven weeks to assemble records, reach buyers, and give trustees a recommendation. Staff time is limited; board packet has one deadline.	Prioritize a verified fact sheet, three buyer-group lists, one tour, and a documented offer deadline. A lean brokered sprint preserves essential

		reach while accepting fewer tours and less price discovery than a full campaign.

5. Financial illustration and downside

Illustrative assumptions for comparison—not a valuation or forecast: gross purchase price $1,200,000; success fee 5.0% of gross purchase price; reimbursable marketing capped at $2,000; other seller closing costs $8,000. No taxes, debt payoff, or remediation are modeled.

Case	Gross price	Fee (5%)	Other costs	Illustrated net proceeds
Brokered base	$1,200,000	$60,000	$10,000	$1,130,000
Sealed-bid at same price	$1,200,000	$0	$8,000	$1,192,000
Brokered downside: price 10% lower	$1,080,000	$54,000	$10,000	$1,016,000
Brokered upside: price 10% higher	$1,320,000	$66,000	$10,000	$1,244,000

Reconciliation: net = gross − fee − other costs. At the same $1,200,000 price, the brokered route costs $62,000 more than sealed bid. The brokered base therefore needs incremental price, certainty, or risk reduction worth more than $62,000 to be financially preferable; that outcome is possible, not promised. If price is $1,080,000, net is $1,016,000 and the fee does not disappear.

6. Proposed engagement: accountable and lean

Netherfield Practice will	Council / designated staff will
Prepare a one-page fact sheet from Council records; identify unknowns. Build and prioritize the three buyer lists; make direct outreach and one coordinated tour. Log every inquiry and material question. Receive offers through a single mailbox, acknowledge consistently, and deliver a comparison memo. Coordinate buyer requests, timeline, and closing handoffs.	Name one staff lead by 28 August; provide available plans, title/ownership records, known condition/environmental reports, utility/access information, and public-record constraints by 2 September. Approve fact sheet and outreach by 4 September; attend tour; answer factual questions; obtain all required public approvals and select the preferred offer.
Report conflicts before contacting a prospect; keep a dated activity and offer log available to Council.	Treat records and offers as subject to applicable public-record and procurement rules; direct legal, zoning, environmental, and tax questions to qualified advisers.

Milestones: kickoff 28 August; fact sheet approved 4 September; targeted outreach 4–18 September; tour and Q&A 22 September; offers requested by 2 October; comparison memo by 7 October; trustee vote 14 October. The 60-day term runs 28 August–26 October and ends if Council does not authorize a transaction, unless extended in writing.

Compensation: 5.0% of the gross purchase price payable only at closing, plus pre-approved third-party marketing expenses capped at $2,000. No fee is due if no closing occurs. Netherfield is not promising a buyer, price, zoning entitlement, environmental condition, title quality, financing, approval, or closing date. The Council remains responsible for disclosures, legal/procurement compliance, title, environmental and building diligence, zoning/use determinations, access, and all public approvals. Buyer interest or a proposed use is not evidence of entitlement, approval, condition, or suitability. Excluded: appraisal, engineering, environmental remediation, legal opinions, tax advice, and construction/development management.

7. Fair evaluation and recommendation

Staff should compare offers using a documented matrix: (1) net proceeds after stated costs; (2) price and deposit; (3) funding and diligence credibility; (4) closing timing and certainty; (5) public-owner risk allocation; and (6) mission/use fit, without presuming any use is approved. Material questions and answers should be shared consistently, and each offer should be time-stamped in the log.

RECOMMENDATION — Approve the 60-day lean brokered process with Netherfield Practice at the disclosed 5.0% success fee and $2,000 expense cap. It is the single option that adds targeted reach, qualification, fair comparison, and transaction coordination within the seven-week constraint. The sealed bid remains a respectable low-cost fallback if trustees decide that avoiding the modeled $62,000 same-price cost outweighs the uncertain value of broader exposure and managed execution; that tradeoff should be explicit in the vote record.

Prepared by Amara Bergqvist, Commercial Real Estate Sales Agent, Netherfield Practice